

**PROPOSAL
TO
LAKELAND ELECTRIC
BY
ENRON NORTH AMERICA CORP.
(Revised September 28, 1999)**

BUYER: Lakeland Electric ("Lakeland")

SELLER: Enron North America Corp. ("ENA")

SCOPE OF AGREEMENT

ENA proposes to provide: (1) a competitively priced delivered Firm Gas Supply to Lakeland's 360 MW Westinghouse combined-cycle "501-G" installation at the McIntosh Plant ("McIntosh Plant"), (2) a Supplemental Gas Supply, as needed by Lakeland, and (3) a Nominating and Scheduling Service.

TERM OF AGREEMENT

The term of the agreement would begin on the effective date of the agreement, and would extend until fifteen (15) years after June 1, 2001.

Initially under the agreement, ENA would perform gas nominating and scheduling services, and Supplemental Gas Supply services. The Firm Gas Supply would start June 1, 2001, with the conversion to combined cycle operations, and extend fifteen years.

The term of the agreement would extend year to year thereafter, unless either party provides one (1) year prior written notice of termination.

QUANTITY

The Maximum Daily Quantity ("MaxDQ") under the agreement would be 100,000 MMBtu per day. 62,000 MMBtu per day would be the Firm Gas Supply quantities ("Firm MaxDQ"). 38,000 MMBtu per day would be the Supplemental Gas Supply quantities ("Supplemental MaxDQ"). The Firm MaxDQ and the Supplemental MaxDQ are further defined in Tables 1, 2, 3, and 4.

The Firm MaxDQ would be scheduled each day by ENA for Lakeland unless Lakeland elects to exercise its option under the Buy Back provision herein, or unless ENA elects to exercise its option under the Recall of Delivered Gas Supply provision herein.



The MaxDQ will increase in the future to 110,000 MMBtu/day and the Firm MaxDQ will increase in the future to 72,000 MMBtu per day, coincident with start up of operations of the ANR Pipeline capacity if Lakeland has elected to exercise its option under the ANR Incremental Transportation Capacity provision herein.

The Supplemental MaxDQ would be requested by Lakeland on a day ahead basis for any day in which such gas might be needed by Lakeland. Upon Lakeland's request, ENA would propose available quantities, pricing, and timing. Lakeland would accept or reject all or a portion of the quantity proposed as Lakeland's fuel and power economics dictate. The quantity ultimately agreed to between the parties would be a firm obligation of the parties.



**Table 1 : Firm MaxDQ during Combined-Cycle Term
(FGT Transportation Only)**

<i>Month</i>	<i>Assigned FTS-1 (MMBtu/d)</i>	<i>Assigned FTS-2 (MMBtu/d)</i>	<i>Incremental Firm Volumes (MMBtu/d)</i>	<i>Firm MaxDQ (MMBtu/d)</i>
January	11,485	13,444	37,071	62,000
February	11,485	13,444	37,071	62,000
March	3,261	20,944	37,795	62,000
April	7,672	22,636	31,692	62,000
May	8,306	20,223	33,471	62,000
June	8,306	20,223	33,471	62,000
July	8,306	20,223	33,471	62,000
August	8,306	20,223	33,471	62,000
September	8,306	20,223	33,471	62,000
October	9,952	20,948	31,100	62,000
November	17,724	13,444	30,832	62,000
December	11,485	13,444	37,071	62,000

**Table 2 : Firm MaxDQ during Combined-Cycle Term
(With FGT & ANR Transportation)**

<i>Month</i>	<i>Designee Status FTS-1 (MMBtu/d)</i>	<i>Designee Status ANR Firm (MMBtu/d)</i>	<i>Incremental Firm Volumes (MMBtu/d)</i>	<i>Firm MaxDQ (MMBtu/d)</i>
January	11,485	30,000	30,515	72,000
February	11,485	30,000	30,515	72,000
March	3,261	30,000	38,739	72,000
April	7,672	30,000	34,328	72,000
May	8,306	30,000	33,694	72,000
June	8,306	30,000	33,694	72,000
July	8,306	30,000	33,694	72,000
August	8,306	30,000	33,694	72,000
September	8,306	30,000	33,694	72,000
October	9,952	30,000	32,048	72,000
November	17,724	30,000	24,276	72,000
December	11,485	30,000	30,515	72,000



**Table 3: Firm and Supplemental MaxDQ
(FGT Transportation Only)**

<i>Month</i>	<i>Supplemental MaxDQ MMBtu/d)</i>	<i>Firm MaxDQ (MMBtu/d)</i>	<i>MaxDQ (MMBtu/d)</i>
January	38,000	62,000	100,000
February	38,000	62,000	100,000
March	38,000	62,000	100,000
April	38,000	62,000	100,000
May	38,000	62,000	100,000
June	38,000	62,000	100,000
July	38,000	62,000	100,000
August	38,000	62,000	100,000
September	38,000	62,000	100,000
October	38,000	62,000	100,000
November	38,000	62,000	100,000
December	38,000	62,000	100,000

**Table 4: Firm and Supplemental MaxDQ
(With FGT & ANR Transportation)**

<i>Month</i>	<i>Supplemental MaxDQ MMBtu/d)</i>	<i>Firm MaxDQ (MMBtu/d)</i>	<i>MaxDQ (MMBtu/d)</i>
January	38,000	72,000	110,000
February	38,000	72,000	110,000
March	38,000	72,000	110,000
April	38,000	72,000	110,000
May	38,000	72,000	110,000
June	38,000	72,000	110,000
July	38,000	72,000	110,000
August	38,000	72,000	110,000
September	38,000	72,000	110,000
October	38,000	72,000	110,000
November	38,000	72,000	110,000
December	38,000	72,000	110,000



DELIVERY POINT(S)

The primary delivery point for all deliveries hereunder would be the interconnection between Florida Gas Transmission (“FGT”) and (i) Lakeland - McIntosh Plant, and/or (ii) Lakeland Generating. The secondary delivery point(s) would be any other Delivery Point(s) on the entire FGT system, subject to limitations by FGT for secondary deliveries. To the extent ANR Pipeline was added to this agreement, the primary delivery point(s) would be revised accordingly.

BUY BACK PROVISIONS

“Day Ahead” Buy Back of Gas

By providing notice by 9:00 a.m. Eastern Time on the morning of FGT’s chart time nomination deadline, Lakeland would have the option to request quantities to be delivered less than the Firm MaxDQ. In such event, ENA would buy back such excess quantities of gas at the price set forth below.

“Intraday” Buy Back of Gas

Upon providing two (2) hours notice prior to FGT’s intraday nomination deadlines for the applicable gas day, Lakeland would have the option to request quantities to be delivered less than the quantities previously scheduled. In such event, ENA would buy back such excess quantities of gas at the price set forth below.

RECALL OF DELIVERED GAS SUPPLY

On a day ahead basis, and as set forth in the Nominations and Scheduling paragraph below, ENA would have the right to recall the gas supply that Lakeland has requested to be scheduled and delivered to its citygate. At any time that ENA recalls delivered gas supply requested by Lakeland, ENA would buy such Recall Gas at the price set forth below. In addition, Lakeland has the right to buy back such Recall Gas if needed at the price set forth below.

CONTRACT PRICE

Firm Gas Supply Price

Lakeland would pay ENA a two-part rate consisting of a Monthly Demand Charge and a Commodity Charge (“Contract Price”) as follows:

Monthly Demand Charge - Lakeland would pay ENA the sum of (i) the FGT FTS-1 demand charge in effect for any month, times the corresponding Lakeland capacity FTS-1 volumes in Table 1, times the number of days for such month, and (ii) the FGT FTS-2 demand charge in effect for any month, times the sum of the corresponding Lakeland capacity FTS-2 volumes and the Incremental Firm Volumes in Table 1, times the number of days for such month.

Commodity Charge - The sum of (i) the first of the month Index as published in Inside *F.E.R.C.’s Gas Market Report*, (“Index Price”) for all gas delivered in FGT Zone 2, plus (ii)



the applicable FTS-1 and FTS-2 variable transport costs (including fuel retention) on FGT, less (iii) a discount for the assigned FTS-1 and FTS-2 volumes of \$0.07 per MMBtu, and a discount for the Incremental Firm Volumes of \$0.15 per MMBtu (such discount would not be applicable for quantities under the proposed ANR Pipeline capacity.)

Lakeland would have the option to periodically request ENA to modify the Commodity Charge to reflect a price other than the Index Price, such as a fixed price, fixed basis price, floating basis price, **Gas Daily** price, or any other mutually agreed to pricing structure, as more fully described in ENA's Master Firm Agreement.

Buyback Provision Gas Price

ENA would pay Lakeland a fixed price for "Day Ahead" Buyback Gas as mutually agreed to each day, or a default price of the **Gas Daily**, Citygate, common, low posting for Florida gates via FGT. ENA would pay Lakeland a fixed price for "Intraday" Buyback Gas as mutually agreed to each day, or a default price of the **Gas Daily**, Citygate, common, low posting for Florida gates via FGT, as posted for the higher of the flowing gas day or the day after the flowing gas day.

Recall Provision Gas Price

ENA would pay Lakeland for Recall Gas quantities whereby Lakeland would be relieved of its obligation to pay ENA the applicable Contract Price and would receive a credit on the next month's invoice. Further, if Lakeland needs to buy back such Recall Gas from ENA, Lakeland would pay ENA an agreed to price each day, which is reflective of current market conditions, or a default price of the **Gas Daily**, Citygate, common, high posting for Florida gates via FGT.

Supplemental Gas Supply Price

Lakeland would pay ENA a price for each Supplemental Gas Supply package as periodically agreed to between Lakeland and ENA.

NOMINATING AND SCHEDULING SERVICE

ENA would provide all nominating and scheduling for the Firm Gas Supply and the Supplemental Gas Supply hereunder. Pursuant to this agreement, Lakeland has the right to request ENA to nominate and schedule gas supply from third parties ("Third Party Gas Supply"). There are no additional charges associated with ENA providing such service for Lakeland.

TAKE AND DELIVERY OBLIGATIONS

Lakeland would purchase and take 100% of the gas that it requests each day. ENA would schedule 100% of the gas requested by Lakeland each day.



ANR INCREMENTAL TRANSPORTATION CAPACITY

To the extent ANR, or other pipeline companies, constructs a new pipeline (“ANR Pipeline”) into the state of Florida, Lakeland may contract for such incremental firm transportation capacity, and Lakeland would have the option to put such firm capacity to ENA for use by ENA to provide delivered gas supply to Lakeland hereunder.

Coincident with start up of operations of such ANR Pipeline capacity, Lakeland will take back from ENA the use of its FGT FTS-2 capacity for use in a separate Lakeland prearranged capacity transaction.

Lakeland’s option to put such capacity to ENA would be contingent various competitive factors, including but not limited to the (i) in-service date of the ANR Pipeline is no later than December 31, 2001, (ii) ANR Pipeline demand, commodity charges, fuel retention, and other applicable surcharges, (iii) gas supply pricing and availability on ANR Pipeline, (iv) nominating and scheduling requirements on ANR Pipeline, (v) operating conditions on ANR Pipeline, and (vi) seasonal volume differences between Lakeland’s FGT FTS-2 and ANR Pipeline capacity configurations.

NOMINATIONS AND SCHEDULING

Lakeland would be responsible for directly requesting its daily gas supply requirements from ENA at or before 9:30 a.m. Eastern Time on the day preceding the gas delivery day. ENA would also be responsible to for notifying Lakeland of its day ahead election to recall such gas supply no later than 9:30 a.m. Eastern Time. Both parties may agree from time to time to modify the deadline for nominating to the other party. ENA would be responsible for all nominating and scheduling of gas supply and arranging transport on FGT as part of this agreement. Lakeland and ENA would adhere to GISB standards on nominating, scheduling, etc. ENA would exercise commercially reasonable efforts to accommodate Lakeland regarding intraday scheduling of gas, and related activities.

TRANSPORTATION CONTRACT DESIGNEE STATUS



THIS PROPOSAL CONTEMPLATES THAT LAKELAND WOULD AUTHORIZE “DESIGNEE STATUS,” OR OTHER APPLICABLE AGENCY STATUS, FOR ENA TO OPERATE LAKELAND’S EXISTING FGT FTS-1 AND FTS-2 FIRM TRANSPORTATION CAPACITY, AND PROPOSED ANR PIPELINE FIRM TRANSPORTATION CAPACITY. LAKELAND WOULD BE RESPONSIBLE FOR EXTENDING THE TERM OF SUCH AGREEMENTS AT THE REQUEST OF ENA SHOULD SUCH AGREEMENTS REACH A TERMINATION DATE UPON TERMINATION OF THE AGREEMENT, ENA “DESIGNEE STATUS” WOULD BE RESCINDED AND WOULD GO BACK TO LAKELAND. THE RECEIPT POINTS ON THESE FIRM TRANSPORTATION AGREEMENTS ARE OUTLINED ON EXHIBIT “A” ATTACHED HERETO. BOTH PARTIES SHALL MUTUALLY AGREE ON CHANGES OR MODIFICATIONS TO RECEIPT AND/OR DELIVERY POINTS.

BILLING AND PAYMENT

ENA would provide its demand charge invoice by the first (1st) day of each month for the month’s Demand Charge. Lakeland would pay ENA the Monthly Demand Charge on or before the tenth (10th) day of such month. ENA would provide its commodity charge invoice by the tenth (10th) day of each month for the month’s Commodity Charges. Lakeland would pay ENA the Commodity Charge on or before the twentieth (20th) day of such month. Any replacement gas cost and buyback arrangements would be settled on a monthly basis. Interest on unpaid amounts would accrue from the date such payments were due at a rate equal to LIBOR plus 2%.

REPLACEMENT GAS PROVISIONS

In the event of ENA’s unexcused failure to schedule gas requested by Lakeland on any given day, ENA would pay liquidated damages equal to the sum of (i) the difference, if positive, between the *Gas Daily*, Midpoint, posting for deliveries in FGT-Zone 2 and the delivered contract price inclusive of Lakeland’s unitized demand charge, and (ii) applicable penalties and/or balancing requirements on FGT. ENA shall be limited to ten (10) unexcused failures to schedule gas requested by Lakeland in any twelve (12) month period.

In the event that Lakeland fails to take its obligation on any given day, Lakeland would pay liquidated damages calculated daily as the sum of (i) the difference, if positive, between the *Gas Daily*, Midpoint, posting for deliveries in FGT-Zone 2 and the delivered contract price inclusive of Lakeland’s unitized demand charge, charge, plus (2) applicable penalties and/or balancing requirements on FGT and applicable upstream pipelines.

Reasonable efforts would be exercised by ENA and Lakeland for mitigation of replacement costs and associated factors. Both parties would be obligated to inform the other party of its intent to replace gas markets or supplies, respectively, prior to taking such actions.

As part of its nominating and scheduling service, it is understood that ENA is not responsible for replacing Third Party Gas Supply which is (i) procured by Lakeland, (ii) properly scheduled by ENA, but (iii) is not properly delivered to ENA.

CONFIDENTIALITY



All terms and conditions of this proposal are proprietary trade secrets of ENA and are exempted by the "Florida Public Records Law" and must be kept confidential between Lakeland, ENA and their duly appointed agents.

GOVERNING LAW

The Contract would be governed by the laws of the State of Texas.

The prices in this proposal are subject to change until a final agreement is reached. This proposal is for discussion purposes only to facilitate the negotiation, preparation, and execution of definitive agreements. This is not an offer or commitment of Seller or any of its affiliates to enter into any transaction. The transaction described herein is subject to further review and approval of the Board of Directors and the Commission respectively of Seller and Buyer, and execution of definitive agreements containing all appropriate provisions, including those related to credit and limitation of damages and remedies.

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